



MEGA DEAL (from left) HDFC Bank MD & CEO Sashidhar Jagdishan, HDFC Chairman Deepak Parekh, HDFC Bank Chairman Atanu Chakraborty and HDFC Vice Chairman & CEO Keki Mistry during the announcement of the HDFC-HDFC Bank merger

THE OVERALL DEAL VOLUME HIT A RECORD OF \$46.3 BILLION IN APRIL WITH THE HDFC-HDFC BANK MERGER, SAYS GRANT THORNTON

preneurs today, plus the entire ecosystem has also matured a lot both for minority and control investments.”

That is music to the ears of those putting in the big bucks. “Control deals have picked up momentum and we see that in our deal flow as well. What has changed in the recent past is that founders are increasingly recognising that they have taken their business to a scale growing beyond which will require bringing in professional management, implementing global best practices or having a robust M&A strategy, to name a few,” explains ChrysCapital’s Shroff. The role of the PE sponsor, to him, can come as a change agent. “We can attract the right professional talent, invest in medium-term transformations and pursue an aggressive inorganic strategy.” Blackstone’s Dalmia maintains PE investors prefer controlling stakes, given that it allows them to drive the value creation agenda while ensuring best-in-class corporate governance. “Control investors, however, need to be business builders—and not just buyers of businesses—to create strong and sustainable investment returns.”

With high liquidity comes the worry on valuations. Shroff is not too comfortable on how valuations are playing out and says it is “no doubt full and investors have to tread carefully. Given the environment, we are seeing investors become more risk-off globally”. But he is quick to add that experienced managers do best in weak markets. “The ability to find mispriced assets is higher in such markets. India’s long-term story remains intact and even where global growth is slowing, India will remain the fastest growing large economy for the next few years.”

A fund like Actis has exited two renewable energy businesses—Ostro and Sprng—by selling out to stra-

tegic investors. Sanjiv Aggarwal, Partner for Energy Infrastructure at Actis, says the exits were driven by an investment thesis of building world-class sustainable businesses and selling them for capital gains. “We create scale businesses with a strong growth pipeline and a best-in-class management team, which we exit once we have completed our business plan. It is sold to another investor, who takes the company on its next growth journey. Typically, such an investor would have a longer time frame and lower cost of capital.” On the specific issue of control, an approach Actis has taken, Aggarwal says, “We believe that we can create more value through this mode of investing. As builders and operators, our investment approach focusses on acquiring a majority or full control stake in the businesses we build, working with our sustainability and value creation teams to drive long-term value for our investors.”

From this point, the M&A piece looks interesting. Balakrishnan points out that from a sector perspective, India has seen deals across the board. “In our view, one will continue to see further activity in areas such as energy transition and renewables, technology (both enterprise and consumer tech), pharmaceuticals, consumer and industrials.” Dalmia says Blackstone has identified five focus sectors—IT, consumer, financial services, value-added manufacturing and healthcare. “Across these sectors, we believe technology transformation is key to value creation.”

With many pieces of the puzzle firmly in place, including the insatiable appetite for growth, India Inc. appears to be on a strong wicket. This round of M&As is a long story waiting to play out. **BT**

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